

Amendment No. 3 to SB0670

Campbell
Signature of Sponsor

AMEND Senate Bill No. 670

House Bill No. 541*

by deleting all language after the enacting clause and substituting:

SECTION 1. Tennessee Code Annotated, Section 69-3-108(g), is amended by adding the following as a new subdivision:

(6) On or before July 1, 2025, and on or before July 1 of each year thereafter, the division of water resources in the department, in collaboration with United States army corps of engineers, as necessary, shall report the following information to the governor, the comptroller of the treasury, the chair of the committee of the house of representatives having jurisdiction over subject matters pertaining to commerce, and the chair of the commerce and labor committee of the senate the following information for the preceding twelve (12) months:

(A) The number of applications for permits filed pursuant to this section;

and

(B) For permits required to have a provision for adequate compensatory mitigation pursuant to subdivision (g)(4)(E), the mechanism of compensatory mitigation provided for in the permit, including mitigation banking, permittee responsible mitigation, or in-lieu fee payments as approved by the department. If the mechanism of compensatory mitigation is:

(i) An in-lieu fee program, then the report must include the in-lieu fee instrument sponsor, the number of mitigation credits sold for the permitted project, and the amount of money received by the sponsor for such credits; and

(ii) Mitigation banking, then the report must include the mitigation bank sponsor, the number of mitigation credits sold for the permitted project, and the amount of money received by the sponsor for such credits.

SECTION 2. Tennessee Code Annotated, Section 69-3-108(r), is amended by designating the existing language as subdivision (1) and designating the following as a new subdivision (2):

(2) A person desiring to develop real property may request a determination from the commissioner regarding the presence, extent, and category of wetlands by submitting a wetland resource inventory report prepared by a qualified third-party wetland professional, including a delineation and, if applicable, documentation that the wetland is geographically isolated. The report must also include a determination of the quality of the wetland in accordance with rules duly promulgated by the board. The wetland delineation portion of the report must be prepared in accordance with the United States Army Corps of Engineers Wetland Delineation Manual (January 1987) and applicable regional supplements or other such methodology contained in rules duly promulgated by the board. If the wetland resource inventory report contains all required information, is prepared in accordance with department procedures and guidance, and is certified by a qualified third-party wetland professional to be true, accurate, and complete, then the determinations made in the wetland resource inventory report are presumed to be correct unless the commissioner notifies the person, in writing, within thirty (30) days of submittal of the report, that the commissioner has affirmatively determined there is a substantial question about the presence, extent, status as geographically isolated, or quality of a wetland and states the reasons for that determination. If such a determination is made, then the commissioner must, within thirty (30) days following the initial notification, determine the presence, extent, status as geographically isolated, and quality of wetlands, and notify the person in writing of that

decision and the reasons for the determination. The person on whose behalf a wetland resource inventory report was submitted may appeal a determination by the commissioner by filing a petition stating the basis for the appeal with the board within thirty (30) days of receiving the commissioner's decision.

SECTION 3. Tennessee Code Annotated, Section 69-3-103, is amended by adding the following as new subdivisions:

() "High-quality geographically isolated wetland" means a geographically isolated wetland that provides a high degree of ecologic, hydrologic, and biogeochemical functions, as defined by the board and measured by the department's wetland resource assessment tool;

() "Geographically isolated wetland" means a wetland that does not have a continuous surface connection to a relatively permanent body of water that is connected to traditional interstate navigable waters and, as such, is distinguishable from that body of water;

() "Low-quality geographically isolated wetland" means a geographically isolated wetland that provides only minimal ecologic, hydrologic, and biogeochemical functions, as defined by the board and measured by the department's wetland resource assessment tool;

() "Moderate-quality geographically isolated wetland" means a geographically isolated wetland that provides only modest ecologic, hydrologic, and biogeochemical functions as defined by the board and measured by the department's wetland resource assessment tool;

SECTION 4. Tennessee Code Annotated, Section 69-3-105, is amended by adding the following new subsection:

(n) The commissioner shall develop and submit to the board proposed rules necessary for accurate, consistent wetland quality determinations. These rules must include at a minimum:

(1) Standard procedures for making a science-based determination regarding whether a geographically isolated wetland should be classified as exhibiting low-, moderate-, or high-quality characteristics; and

(2) A certification program for department staff and other persons who wish to become certified wetland professionals.

SECTION 5. Tennessee Code Annotated, Section 69-3-107, is amended by adding the following new subdivision:

(26) Develop and implement a new funding option to support voluntary wetland conservation efforts by persons subject to this part. This voluntary wetland conservation fund may be utilized in the commissioner's permitting of impacts to low-quality geographically isolated wetlands by an applicable general permit.

SECTION 6. Tennessee Code Annotated, Section 69-3-108(l), is amended by designating the existing language as subdivision (1) and adding the following as subdivision (2):

(2) Notwithstanding a law or rule to the contrary:

(A) The alteration of a moderate-quality geographically isolated wetland that is up to one-quarter (1/4) acre in size or a low-quality geographically isolated wetland that is up to two (2) acres in size may be regulated by a general permit for aquatic alterations pursuant to this subdivision. General permits authorizing alterations to geographically isolated wetlands may include compensatory mitigation requirements; and

(B) The alteration of a low-quality geographically isolated wetland that is greater than one half (1/2) acre up to two (2) acres in size is subject to a mitigation ratio of, at a minimum, 1:1. Mitigation may include the purchase of mitigation credits or payment into the voluntary wetland conservation fund created pursuant to § 69-3-105(n).

SECTION 7. Tennessee Code Annotated, Section 69-3-108, is amended by adding the following as new subsections:

(bb) An individual aquatic resource alteration permit is required for alteration of a low-quality geographically isolated wetland greater than two (2) acres, a moderate-quality geographically isolated wetland greater than one-quarter (1/4) acre, and a high-quality geographically isolated wetland of any size.

(cc) Existing onsite permanent stormwater control measures may be accounted for when determining the amount of mitigation required for alteration to any geographically isolated wetland where mitigation is required.

(dd) The wetland resource assessment tool established and utilized by the department to measure the presence or quality of a geographically isolated wetland is subject to a public notice and comment period of no less than thirty (30) days. The wetland resource assessment tool must be approved by the board following the public notice and comment period.

SECTION 8. This act takes effect July 1, 2025, the public welfare requiring it.